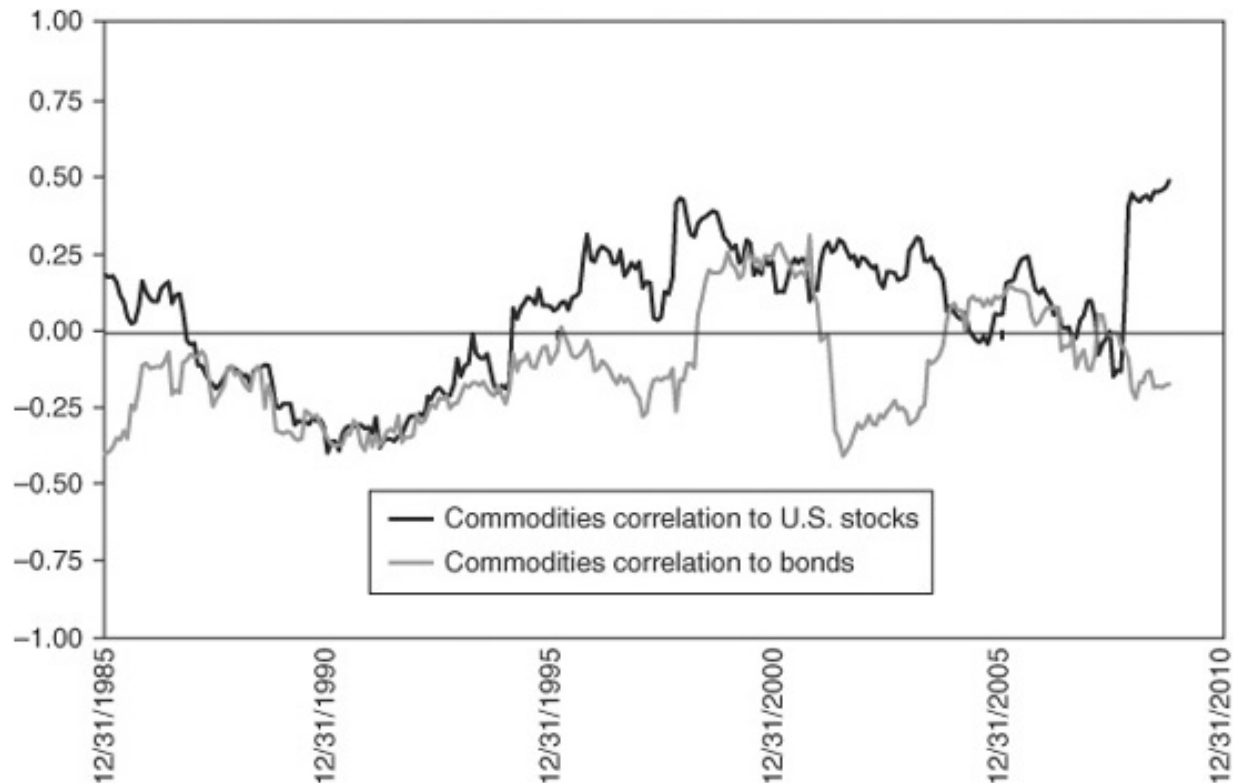


diversifier in a portfolio. But there are issues. One is the long-term low return from commodities, and the other is the tendency for high correlation with stocks when stocks are crashing.

FIGURE 10-6 Rolling 36-Month Correlation of the CRB Total Return Index to U.S. Stocks and Intermediate-Term Treasury Bonds



[Figures 10-5](#) and [10-6](#) represent a dilemma for investors. Commodities total return indexes have had at times low correlation with other asset classes, *but they also have historically low returns*. While low correlation is a great attribute for an asset class from a risk reduction perspective, *you cannot eat low correlation*. In addition, the correlation can become positive very quickly, and during periods when you don't want them to. When stocks tumble, commodities can also go into a steep decline. That was the case in 2008.

The purpose of investing is to achieve a long-term financial goal. Thus all investments in your portfolio should independently be expected to earn a real return over the inflation rate based in that asset class. Commodities fail this test. Although very volatile, commodities should not be expected to earn more than inflation over the long term. Even if the volatility of your